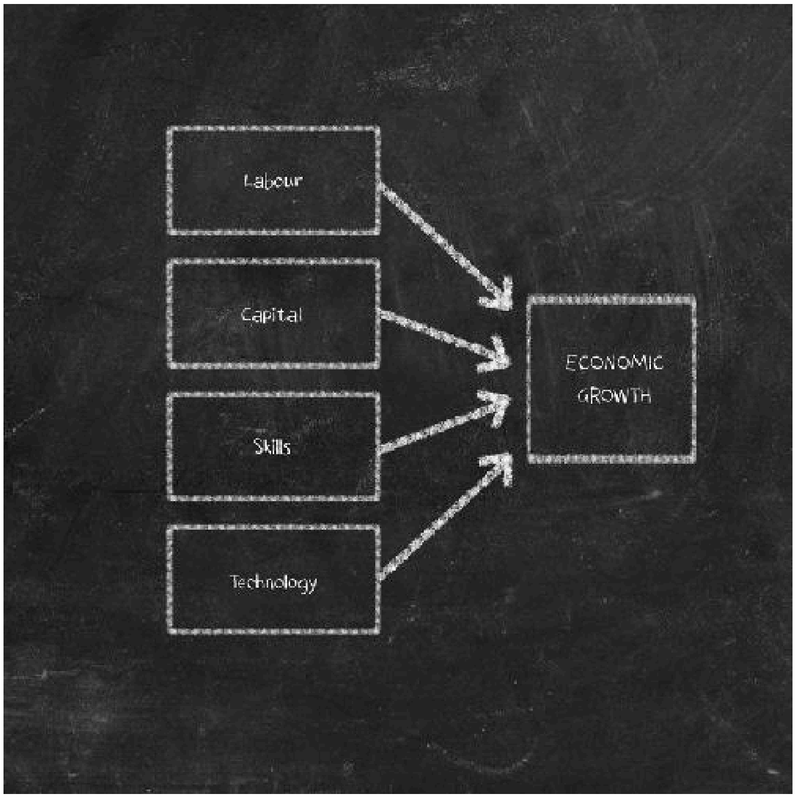
Growth and the sources of growth



One of the founders of economics, Adam Smith, entitled his magnum opus *The Wealth of Nations*, and the differences that make some countries rich and others poor remain a major preoccupation of the discipline. Today, economists wrestle with the problem by searching for the causes of growth.

Growth is simply the rate of expansion in a country's output. Over time, even small differences in this rate can lead to big gaps in living standards: over 30 years a country growing at 4 per cent per year would be one-third richer than one starting from the same point but growing at just 3 per cent. For poor countries, a small growth disparity might make the difference between having the resources to immunize children against diseases or not. In simple terms, economies grow when more inputs – capital, labour and skills – are put into production, and when new technologies make the inputs more productive.

Understanding how this happens, and why it happens more easily in some countries than others, is a holy grail of economics.